

Building for Actual Demand

What we found about workforce housing in the upper San Miguel region

A summary of the full report. Livable Telluride, August 2026.

The short version. The region does not have a housing money problem. It has a housing tool problem. The cheapest ways to house a worker sit almost unused, while the most expensive way has taken most of the budget. Fixing that does not take more money. It takes deciding what the housing is for, and then buying it the cheap way.

Six numbers

\$960 to \$1,230	What a full-time worker in our two biggest job sectors can afford in rent each month, using the standard measure of 30% of income.
\$1,848	The middle market rent in the region. In Telluride it is \$3,056.
84%	The share of the county official 1,114-unit housing "need" that serves growth rather than people who already live here.
\$955,000	What the public paid for each apartment at Voodoo.
\$65,000	What Vail pays to buy a permanent deed restriction on a house that already exists, instead of building a new one.
1.2 to 1	Applicants per unit when new housing was priced near 140% of the area median income. Five apartments still sat empty that December.

What we found

1. Local wages cannot reach local rents, and no employer can close that gap alone.

Workers in hotels, restaurants, skiing, and retail all earn less than what a one-person household needs to afford the middle market rent.

2. Demand is deep below 100% of the median income and nearly gone above 120%. The region has now tested this twice and gotten the same answer both times. A waiting list opening in Mountain Village took 50 applications in two hours. A 2026 ownership lottery drew six

qualified households for every home. Housing priced near 140% drew 1.2 applicants per unit and left vacancies.

3. Building is by far the most expensive way to house someone. At what Voodoo actually cost, the public pays between \$644,000 and \$1.03 million per apartment depending on the rent charged. Buying a restriction on an existing house costs Vail about \$65,000. Meadowlark, built on public land at modest standards, cost about \$137,000 per home and sold out in two months.

4. The tool the region uses most does not pay for itself. Housing one worker locally is worth roughly \$25,000 to \$40,000 a year in avoided commuting, recovered time, and employer savings. A bed built at Voodoo prices costs the public more than \$45,000 a year. The region has been spending past that line for years, which is why the housing budget keeps growing while the shortage stays about the same.

5. The sewer plant, not the zoning map, sets the real limit on growth. The new regional plant leaves room for perhaps 10,000 to 15,000 more people at peak, across every town it serves, for the next generation. The decision on how to size it, due by July 2028, is the most consequential growth decision the region will make.

6. Two hotels approved by one town sent a bill to all three governments. Four Seasons and Six Senses will create an estimated 200 to 400 service jobs against on-site housing for perhaps 25 to 40 workers. The unfunded public housing obligation comes to roughly \$55 to \$100 million, or **\$450,000 to \$800,000 for every hotel key**. They also take 5% to 8% of the sewer capacity described above. Neither Telluride nor the county had any vote on approving them.

7. The gondola money does not add up. Of the \$8.2 million the dedicated tax brings in each year, about \$5.5 million goes to running the system, leaving roughly \$2.7 million toward a replacement estimated at \$120 to \$150 million. That is **44 to 56 years of saving** for a machine that wore out in about thirty. The tax itself is under appeal, decided originally by 198 votes, and no backup plan has been published.

8. The town housing program has begun to feed itself. Town spending is up 175% in a decade and staffing is up 41%. The town has adopted a goal of housing 30% or more of its own employees, written as a percentage of a workforce that keeps growing, so it can never be finished. That benefit is worth roughly \$450,000 to \$600,000 a year in untaxed pay and appears in no budget document. Reaching the goal costs either \$4.1 million or \$28.7 million depending only on which building method the town picks.

9. The honest program is small enough to finish. Housing the workers who already live and work here takes about 250 to 400 beds and roughly \$15 to \$25 million over ten years. That is less than the public paid for the single Voodoo project. For comparison, the proposed Carhenge project is modeled at \$214 million for a similar number of bedrooms.

The ranking that decides everything

Every tool below houses the same worker. They differ in price by more than twenty times.

Tool	Public cost per year, per bed	Worth it?
Fill empty units by fixing eligibility rules	About \$2,000	Yes, about 10 to 1
Buy deed restrictions on existing homes	About \$2,000	Yes, about 10 to 1
Lease existing homes from private owners	About \$5,000 to \$15,000	Yes, 2 to 5 to 1
Build modest homes on public land	About \$4,000 to \$5,000	Yes, 4 to 5 to 1
What one worker housed is worth	\$25,000 to \$40,000	the break-even line
Custom construction at Voodoo prices	About \$45,000	No, under 1 to 1
Carhenge as proposed	About \$44,000	No, under 1 to 1
Lot L, with a parking garage attached	About \$100,000	No, far under 1 to 1

The top four tools work inside buildings that already exist or on land the public already owns. They use no sewer capacity, add no traffic, and cost a fraction of construction. The three below the line cost more each year than housing the worker is worth.

What to do

- 1. Say what the housing is for.** Every proposal states whether it houses the workers we already have or brings in new ones. Both are legitimate choices. Only one of them should be made by accident.
- 2. Fill the empty units first.** Roughly 25 to 30 town apartments sit empty and rentable right now. Changing who is allowed to rent them, before touching any rent, would house 35 to 45 people at no capital cost.
- 3. Price the cheap option before approving the expensive one.** No construction dollar gets committed until someone has priced what it would cost to buy restrictions on existing homes for the same households.

4. Price new housing where the line actually is, at or below the 100% median income equivalent. Housing above 120% has twice been built and twice failed to fill.

5. Publish occupancy every month. The 2025 vacancies built up unmeasured because no one was required to report them. This costs nothing and would have caught the problem a year earlier.

6. Never pay more for a bed than the bed gives back. In practice that means a ceiling of about \$300,000 to \$450,000 per bed, which is the free-land, modest-construction category. Above that line, each new bed makes the community poorer.

The bottom line

This region can house the workers it already has. It can do it for roughly the price of one building it has already built, using tools it already knows how to use and mostly already owns. The reason that has not happened is not a shortage of money or of good intentions. It is that the most expensive option on the menu keeps getting ordered first, and nobody has been required to price the alternatives beside it.

The full report, with sources for every figure here, is available at livabletelluride.org.

Livable Telluride is an independent community organization. Every number in this summary comes from public records: adopted budgets, engineering studies, bond documents, certified lottery results, and state and federal data. We welcome corrections.